

China Internet & New Media

EQUITY: INTERNET & NEW MEDIA

ByteDance dominates China's AI short-drama value chain

From Seedance to Hongguo, but low switching costs leave room for challengers

Key highlights

We recently interacted with two short-drama producers about industry trends. The experts believe that AI-generated short dramas (AGSDs) are evolving from a low-cost content-production model into a more professionalized and quality-driven ecosystem. Their substantially lower per-title production costs and capital requirements are accelerating the displacement of lower-end live-action short dramas. However, the surge in AGSD supply over the past year has prompted major platforms such as Hongguo to raise quality thresholds and crack down on low-quality content, shifting industry competition increasingly toward higher-quality IP, talent and production.

Both experts believe that ByteDance (unlisted) currently holds a dominant position across China's AI short-drama value chain, spanning the upstream AI-video generation tool Seedance and downstream distribution through Douyin and Hongguo. Both identified Seedance as the most widely used AI-video tool for AGSD production. One expert estimated that Seedance is used in 80–90% of industry production workflows, while around 80% of his studio's AI-video budget is currently spent on Seedance.

The main drawback of Seedance, according to both experts, is price. It commands a premium versus competing tools such as Kuaishou's (1024 HK, Neutral) Kling, Alibaba's (BABA US, Buy) Wan. As a result, studios are increasingly using cheaper alternatives for less demanding shots to reduce production costs. Despite Seedance's current lead, switching costs appear low: both experts indicated that they would allocate more production volume to cheaper alternatives if their performance becomes sufficiently comparable.

In downstream distribution, ByteDance's Hongguo is currently the largest short-drama platform in China, with time-spent share reaching 5.91% (divided by total monthly mobile time spent by Chinese mobile populations) as of August 2026 according to Questmobile data, making it China's No. 4 most-used app.

The AGSD industry still faces challenges, including content farming and IP infringement. Nevertheless, production costs remain materially below those of live-action short dramas, roughly 50–90% lower based on the experts' estimates. We believe this structural cost advantage, together with continued improvements in AI-video quality, should continue to support rapid growth in the AGSD industry.

AGSDs are rapidly replacing low-end live-action short dramas

AGSDs remain significantly cheaper than live-action short dramas in terms of cost. According to the experts, live-action short dramas typically cost CNY0.4–1.0mn per title, with premium productions exceeding CNY1mn, while AGSDs range from only a few thousand yuan for low-end content to CNY0.1–0.2mn+ for higher-quality productions, implying a roughly 2–10x cost gap depending on production quality. While AGSDs currently have less attractive economics than headline cost comparisons might suggest, as AGSDs currently have lower likelihood of gaining audience traction, one expert cited a ~1%+ for AGSD versus 10–20% for live-action dramas featuring actors with an existing fan base. However, AI short dramas require substantially less upfront capital and can reduce the cash-flow impact of individual failure, which allows producers to produce more titles and iterate continuously. These lower production costs and capital requirements are accelerating the displacement of lower-quality live-action short dramas.

AGSD industry is shifting toward quality-driven competition

As content supply has surged, platforms such as Hongguo are raising quality thresholds

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and increasingly restricting low-quality AGSD to protect their ecosystem health. As a result, the experts believe, AGSD competition is shifting toward better IP, talent and production quality, driving up the cost of premium AI productions.

According to one expert, for higher-quality AGSDs, the IP/scripts cost have increased from a relatively small component to ~30% of total production costs, with compute/production accounting for another 20%+ and labor making up much of the remainder. IP primarily comes from established online-literature platforms such as ByteDance's Tomato Novel ecosystem, Baidu's (BIDU US, Buy) Qimao, as well as scripts previously developed for live-action short dramas. The expert thinks that proven IP has already accumulated an audience and been validated by the market, providing greater visibility on audience demand and potentially improve the odds of gaining audience traction versus entirely original content.

ByteDance currently dominates both AI video generation and downstream distribution, while lower-cost models and multi-model workflows should intensify competition

Both experts indicated that ByteDance's Seedance video-generation models are currently the dominant choice for AI drama production, potentially accounting for 80+ of industry usage. On the distribution side, Douyin and Hongguo are also the most important monetization channels, although producers nevertheless distribute content through other platforms such as Kuaishou, iQIYI (IQ US, Neutral), Bilibili (BILI US, Neutral) and Tencent (700 HK, Buy), partly to capture platform subsidies and partly to reduce dependence on a single distribution channel, according to the experts. The experts noted that Seedance's advantages include stronger narrative continuity, reliability and overall usability. Importantly, they stated, ByteDance also benefits from a large creator and content ecosystem around Douyin and Hongguo: heavy real-world usage generates continuous feedback that can help improve model performance and fix production issues.

According to the experts, while Seedance currently offers the most reliable overall solution, its relatively higher pricing creates room for competitors. They think that lower-cost alternatives from Alibaba's Wan series etc. are already sufficient for many less demanding production scenarios, while Kling also has strengths in areas such as character consistency and storyboard-related workflows.

Therefore, the experts notice that production workflows are moving toward multi-model orchestration to optimize quality and inference costs. Leading studios are increasingly connecting directly to multiple foundation models and developing proprietary production tools, while smaller studios can rely on third-party tools that tend to integrate multiple underlying models. Importantly, switching costs between video-generation models are relatively low. The experts therefore expect lower-cost alternatives to gradually capture workloads as their capabilities improve, while also exerting continued downward pressure on video-generation model pricing.

Widespread content imitation remains an industry issue, while tighter regulation should gradually raise the cost of infringing production

Content imitation remains relatively common in the industry, with producers sometimes lightly modifying proven online novels or successful short-drama scripts, according to the experts. They believe this partly reflects the highly uncertain economics of original content, as already validated stories provide greater visibility on audience demand.

However, the regulatory environment is tightening. China's new *Measures for the Administration of Micro-Dramas*, effective 1 September 2026, emphasizes copyright protection and strengthens requirements around content review and traceability. Together with tighter platform-level quality controls, the experts expect this to raise the compliance costs of low-quality or infringing production and increase the relative value of legitimate IP and professional production capabilities.

AGSD is an early commercial use case for video generation, with the addressable market potentially expanding toward long-form content

AI-generated video is currently concentrated in short-form dramas, comic dramas and advertising, where shorter sequences place relatively limited demands on character consistency and narrative continuity. The experts believe as models become capable of reliably generating longer coherent sequences, AI could increasingly participate in the production of long-form dramas, TV series, and potentially films.

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